NexSky

CHIEF INVESTMENT OFFICE

House View

Macro and Asset-Class Outlook

1 July 2026 · Version 1.4

Benchmark: Strategic Asset Allocation v1.2 (Growth, target CPI plus 5%)

Base currency: EUR. Sources: UBS, Syz, Pictet, J.P. Morgan and Luccai, plus family-office peer data.

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Summary

The June view flagged a rising risk, and in the last full week of the month it began to play out. A sharp but narrow sell-off hit the AI complex: the Nasdaq 100 fell 4.2%, semiconductors 7.7% and the Magnificent Seven 5.9%, while the equal-weight S&P rose 1.6%, the Russell 2000 1.0% and healthcare 7.9%. That is the broadening and defensive rotation we have been positioned for, triggered by doubts over whether more than 450 billion dollars of 2026 hyperscaler capex earns a proportionate return.

The Fed, under Warsh, held at 3.50 to 3.75 percent in mid-June but turned its dot plot to a hike for 2026 and lifted its year-end PCE projection to 3.6 percent, with seventeen of eighteen members seeing inflation risk to the upside. Hawkish-for-longer is now in the projections, not just the rhetoric. Risk then stabilised into month-end: the Nasdaq rebounded 2.1 percent on 30 June and the S&P closed the month near 7,440, with the 10-year Treasury steady at 4.38 percent, Brent near 73.5 dollars and EUR/USD at 1.14. The bounce is consistent with our read that late June was a valuation reset, not a fundamental break.

We are not changing the architecture of the view, we are leaning further into it. We stay constructive on equities but more selective, tilted to quality, defensives and non-US. We run short duration with a belly and quality-bond hedge for the growth-scare case, we hold gold through a deep pullback and would top up, and we lean long the dollar. We strengthen the short-high-yield call and turn modestly more constructive on energy as Middle East risk re-prices. For the first time, the two adverse regimes together outweigh the continuation path.

1 · Macro and Geopolitical Outlook

The map below sets out four regimes, mutually exclusive and summing to 100, with no single dominant base case. This month the balance shifted toward the two adverse regimes, which together carry 55 percent. Muddle-through is the most likely single path, but it is a plurality, not a majority.

The backdrop is hawkish-for-longer policy and a fragile truce. The Fed under Warsh held in mid-June but flipped its dot plot to a 2026 hike and raised its year-end inflation projection to 3.6 percent, the ECB is finishing its summer hikes with survey inflation expectations easing to 3.5 percent, the BoJ is hiking gradually and the SNB sits at zero. The Middle East de-escalation is holding but fragile, and the UK transition from Starmer to Burnham is a live fiscal tail.

Scenario	Prob.	Trend	What it looks like
Muddle-through	**30%**	↓	Contained inflation, growth near 2%, AI capex continuing with good-enough monetisation, and the Fed on hold. Still the single largest path but no longer a plurality; the late-June wobble and the hawkish dot plot both chip at it.
AI air-pocket	**30%**	↑	AI monetisation doubts, Alphabet talent departures and an OpenAI listing delay drove a 5.9% fall in the Magnificent Seven and a 7.7% fall in semis in a single week. If it deepens, mega-cap and semis de-rate further and lead a drawdown, with benign inflation, so long duration rallies

Scenario	Prob.	Trend	What it looks like
			as equities fall. Now level with muddle-through.
Oil and Hormuz stagflation shock	**25%**	↑	Raised. Energy re-entered the Fed's inflation reasoning and the de-escalation looks fragile. A disruption spikes Brent, re-accelerates inflation and forces central banks to tighten into a slowdown.
Genuine soft landing	**15%**	↓	Lowered. With core PCE near 3.4%, headline above 4% and the Fed flipping to a hike, the disinflation leg has weakened, so this is now the least likely path.

The Trend column is our read on the direction of travel of each probability right now. The risk is migrating toward the AI air-pocket and, newly, toward the oil shock, away from the muddle-through and the soft landing.

Above all four sits the fiscal and bond-market accident, covered in section 5. It is not a regime of its own; it is the tail that makes any of these worse, and the main reason we hold gold and some quality duration rather than optimising to a single path.

2 · Key Trends Over the Next 12 Months

1. **Hawkish-for-longer is now in the dots.** The June projection flipped the 2026 median to a hike and raised year-end PCE to 3.6 percent. Cash and short-duration carry are rewarded, while long duration stays vulnerable, except in the air-pocket where it is a hedge.
2. **The AI capex supercycle meets its first valuation test.** Combined 2026 hyperscaler capex above 450 billion dollars has no proportionate return yet identified. The late-June reset was a valuation reset, not a fundamental break, with Micron's strong quarter confirming demand. Selectivity over beta.
3. **Equity broadening, confirmed.** The sharpest growth-versus-value divergence of the year: value roughly flat, growth down in the week, defensives and small caps up. We diversify beyond US mega-cap.
4. **Energy and geopolitics as the swing factor.** The ceasefire is fragile and energy has re-entered the Fed's inflation reasoning. Oil is again the dominant two-way driver of both inflation and risk appetite.
5. **The dollar reasserting on a widening rate gap.** The Fed turning to a hike against an ECB whose surveyed inflation expectations are easing widens the differential in the dollar's favour, so the FX overlay stays long the dollar.

3 · Structural and Long-Term Trends

1. **AI, power and compute.** A multi-year capex and electricity-demand supercycle. We favour the value chain across semiconductors, power and infrastructure, not just mega-cap. The June reset does not change the structure.
2. **Fiscal dominance and high public debt.** Structurally higher term premia, periodic bond-market stress with the UK as the canary, and a tailwind for gold.
3. **Multipolarity and de-globalisation.** Reshoring, defence, commodities and a persistent geopolitical risk premium.

4. **Central-bank gold accumulation and reserve diversification.** Central banks bought 244 tonnes in the first quarter, above the five-year average, a structural bid that underpins gold through its drawdown.
5. **The institutionalisation of family-office capital.** Allocations are converging with institutions, especially in private markets at roughly 30 percent.

4 · Tactical View, One to Three Months

Stance: constructive but more selective. Risk-on equities tilted to quality, defensives and non-US, short duration with a belly hedge, gold and a long dollar as hedges, and modestly more constructive on energy.

Momentum still favours equities over bonds after the month-end rebound, but leadership has broadened. Near-term, the hawkish-Fed repricing, a firmer dollar and fragile Middle East risk argue for selectivity over beta.

What we would do now. Stay long equities but keep broadening into Japan, EM equity, Europe, quality cyclicals, financials, industrials and the AI value chain, and keep trimming US mega-cap concentration. Run short and belly duration for carry, and add belly and quality bonds as the air-pocket hedge. Hold the strategic 5% gold through this dip and top up toward target. Stay long the dollar, and lift the energy-equity tail hedge modestly on renewed Hormuz risk.

Watch list: Hormuz tanker transits and Brent; the Fed September pricing and core PCE; USD/JPY, near 162, where squeeze risk is rising; hyperscaler capex guidance and AI monetisation signals; and UK long gilts.

A caveat on duration. Our underweight is a muddle-through and stagflation call. In the AI air-pocket, a growth scare with benign inflation, long duration rallies, so that regime is hedged by the belly, quality bonds and the 5% gold, not by the short-duration tilt. With the air-pocket probability now at 30 percent, that hedge matters more this month.

5 · Key Risks to the Thesis

These are the structural risks that could break the multi-year thesis, kept separate from the twelve-month regime map in section 1. We size our hedges with these in mind.

1. **The AI capex supercycle disappoints on ROI.** Spend above 450 billion dollars is running ahead of monetisation. A retrenchment takes semiconductors, power demand, equity leadership and the earnings base with it. Our single biggest structural risk, and the trigger for the air-pocket, now part-realised.
2. **Iran and Hormuz re-escalation.** The de-escalation is fragile. A breakdown reopens the oil and inflation tail and forces central banks to tighten harder into a slowdown.
3. **A fiscal and bond-market accident.** With fiscal dominance and high public debt, a buyers' strike in US Treasuries or UK gilts pushes term premia up and resets every discount rate. The cross-cutting tail above every regime.
4. **Fed credibility under Warsh.** A policy error, or a perceived loss of independence, un-anchors inflation expectations and undermines the dollar.

5. **A dollar and reserve shock.** A disorderly dollar move, or a faster diversification of reserves, that breaks the cross-asset correlations we rely on.
6. **Other geopolitical flashpoints.** Taiwan is the one that compounds our risk rather than diversifying it, because a China or Taiwan shock hits the AI and semiconductor supply chain directly; Ukraine and Russia via European energy.

6 · Asset-Class Summary

Our stance and conviction by asset class, against SAA v1.2. Conviction is 1 to 5 stars; the full scorecard, with 3, 6 and 12-month direction and our view versus the Street, is in the Appendix.

A note on ratings. Unlike most sell-side research, we rate the full scale, including Reduce, our explicit sell, and every Reduce carries a trigger we score over time. Current Reduce calls: high yield, long-duration US Treasuries, UK gilts, EM local debt and FX, and crypto beyond the strategic 2%.

Asset class	Stance vs SAA	Conviction
EQUITIES		
US equities	Neutral	★★★
European equities	Overweight	★★★★
Japanese equities	Overweight	★★★★
EM & Asia ex-Japan	Overweight	★★★
Private equity	Overweight	★★★★
FIXED INCOME & CREDIT		
Govt bonds — EUR	UW duration	★★★
Govt bonds — US Treasuries	Reduce long	★★★
Govt bonds — UK Gilts	Reduce	★★★
Credit — Investment Grade	Neutral	★★
Credit — High Yield	Reduce	★★★★
EM debt (hard & local)	Reduce local	★★★
Private debt	Overweight	★★★★
ALTERNATIVES & REAL ASSETS		
Hedge funds	Neutral / OW	★★★★
Real estate & infrastructure	Neutral / OW	★★★
Crypto (BTC & ETH)	Reduce	★★
COMMODITIES & FX		
Gold	Overweight (5%)	★★★★
Commodities — energy	Neutral / OW	★★★
Commodities — metals	Neutral / OW	★★★
FX — EUR/USD (overlay)	Long USD	★★★★
FX — CHF & havens	Neutral	★★

Where we diverge from consensus

- **Bonds.** We are underweight duration, alongside Syz and Pictet, against UBS's call to lock in yields and fade the hikes. The hawkish repricing has gone our way again this month.
- **The dollar.** We lean long, alongside Syz and Pictet, against UBS's bearish-dollar view and its EUR/USD 1.20 target. Conviction raised on the widening rate gap.
- **US equity.** Neutral weight, not Attractive. The late-June reset rewarded broadening over adding to a concentrated, richly valued mega-cap.
- **Gold.** Overweight, and we hold the dip. We accept the deep near-term pullback for the structural double hedge, and would top up toward 5 percent.

Where we agree, with high conviction

Constructive equities with broadening, a preference for Japan, EM equity and Europe, hawkish rates and short duration, a firmer dollar, and the long-term AI and power, fiscal-dominance and gold themes.

Appendix: Full Asset-Class Scorecard

As of 1 July 2026, against SAA v1.2 (Growth). Conviction shown from 1 to 5 stars.

Asset class	3 m	6 m	12 m	Stance	Conv.	Drivers and our view vs Street
EQUITIES						
US equities	→	→	↑	**Neutral**	★★★	Below UBS (Attractive). Broaden, do not add to mega-cap. The six-month softened on valuation-reset risk.
European equities	↑	↑	→	**Overweight**	★★★★	More constructive than UBS (Neutral). Conviction raised on relative outperformance and easing EU inflation expectations.
Japanese equities	→	↑	→	**Overweight**	★★★★	Aligned with UBS and Syz. Near-term softened on semis beta; the structure is intact. Watch the yen squeeze.
EM & Asia ex-Japan	→	↑	↑	**Overweight**	★★★	Take EM in equity form, underweight EM local and FX (the Pictet barbell). Near-term softened after the semis-led drawdown.
Private equity	↑	↑	↑	**Overweight**	★★★★	The core growth engine, deployed through commitment pacing. A structural overweight; part of the SAA's ~30% privates.
FIXED INCOME & CREDIT						
Govt bonds — EUR	→	→	↑	**UW duration**	★★★	With Syz and Pictet. Near-term softened on EU inflation expectations easing to 3.5%. Prefer the short end; add belly as a hedge.
Govt bonds — US Treasuries	→	→	↑	**Reduce long**	★★★	The dot plot flipped to a 2026 hike. The 5-year offers the best risk-reward; belly for carry and as an air-pocket hedge. Against UBS Attractive.
Govt bonds — UK Gilts	↓	→	→	**Reduce**	★★★	Fiscal tail under Burnham, long gilts above 5%, a wider gilt-Bund spread. Avoid; the risk premium is rising.
Credit — Investment Grade	→	→	→	**Neutral**	★★	Decent carry but spreads tight, around 80bps, with little cushion into risk-off. Carry only.
Credit — High Yield	→	↓	→	**Reduce**	★★★★	Very tight spreads, around 300bps, into a rising air-pocket. Not paid for the risk. Conviction raised.
EM debt (hard & local)	→	↓	→	**Reduce local**	★★★	A strong dollar pressures local and FX, while hard-currency carry is acceptable. The Pictet barbell.
Private debt	↑	↑	↑	**Overweight**	★★★★	Senior secured private credit for contractual income with downside protection; part of the ~30% privates allocation.
ALTERNATIVES & REAL ASSETS						
Hedge funds	↑	→	→	**Neutral / OW**	★★★★	High dispersion and the sharpest growth-versus-value split of the year reward macro, multi-strategy and low-net long-short. Conviction raised.
Real estate & infrastructure	→	↑	↑	**Neutral / OW**	★★★	Logistics, data centres, residential, real-estate debt and energy-transition infrastructure. Selective.
Crypto (BTC & ETH)	↓	→	→	**Reduce**	★★	Weak momentum and a risk-off backdrop. Reduce beyond the strategic 2%.
COMMODITIES & FX						
Gold	→	↑	↑	**Overweight (5%)**	★★★★	The ~25% pullback is the near-term headwind we flagged; central-bank demand and the fiscal and

Asset class	3 m	6 m	12 m	Stance	Conv.	Drivers and our view vs Street
						geopolitical hedge are intact. Hold through the dip and top up.
Commodities — energy	→	↑	↑	**Neutral / OW**	★★★	Turning modestly more constructive. Renewed Hormuz risk re-prices the optionality. Energy equity as a tail hedge.
Commodities — metals	→	↑	↑	**Neutral / OW**	★★★	Copper is structural on AI, power and electrification. We like copper, with UBS.
FX — EUR/USD (overlay)	↓	→	→	**Long USD**	★★★★	The widening rate gap supports the dollar. Against UBS's EUR/USD 1.20 call. Conviction raised.
FX — CHF & havens	→	→	→	**Neutral**	★★	The SNB at 0% caps appreciation, with a haven bid on Hormuz risk. Kept small and flagged.

What would change our mind

Bear triggers: Brent above 100 dollars on a Hormuz re-escalation, core PCE re-accelerating with the Fed actually hiking, a disorderly USD/JPY squeeze, or a UK fiscal accident in gilts. Any of these deepens the air-pocket or stagflation path.

Bull trigger: clean disinflation with lower oil and AI monetisation delivering. We would add cyclicals, small caps and EM, and extend duration.